

# SOURCEBOOK

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## COBS Conduct of Business Sourcebook

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## CHAPTER

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# COBS 7 Insurance distribution

## Section : COBS 7.1 Application

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COBS 7.1.1

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This chapter applies to a *firm* carrying on *insurance distribution activities* in relation to a *life policy*, but only if the *State of the commitment* is the *United Kingdom*.

[**Note:** articles 1, 20(1) and 23 of the *IDD*]

## Section : COBS 7.3 Additional insurance distribution obligations

### Demands and needs

- COBS 7.3.1** R (1) Prior to the conclusion of a *life policy*, a *firm* must specify, on the basis of the information obtained from the *client*, the demands and needs of that *client*.
- (2) The details must be modulated according to the complexity of the *life policy* proposed and the type of *client*.
- (3) A statement of the demands and needs must be communicated to the client prior to the conclusion of a *life policy*.
- (4) This *rule* and *COBS 7.3.4R* do not apply when a *firm* makes a *personal recommendation* in relation to a *life policy*.
- [**Note:** first paragraph of article 20(1) and article 20(2) of the *IDD*]
- COBS 7.3.2** G Firms are reminded that they are obliged to take reasonable steps to ensure that a *personal recommendation* is suitable for, and consistent with the insurance demands and needs of, the *client* and that, whenever a *personal recommendation* relates to a *life policy*, a *suitability report* is required (see *COBS 9* or *9A*).
- COBS 7.3.3** G A *firm* may obtain information from the *client* in a number of ways including, for example, by asking the *client* questions in person or by way of a questionnaire prior to any *life policy* being proposed.
- COBS 7.3.4** R When proposing a *life policy* a *firm* must ensure it is consistent with the client's insurance demands and needs.
- [**Note:** recital 44 to, and second paragraph of article 20(1) of, the *IDD*]
- COBS 7.3.5** R The sale of a *life policy* must always be accompanied by a demands and needs test on the basis of information obtained from the *client*.
- [**Note:** recital 44 to, and article 20(1) of, the *IDD*]
- COBS 7.3.5A** R Where an *insurance distributor* is distributing a *life policy* as part of a *ready-made suggestion*, a *firm* will be deemed to meet the requirements in *COBS 7.3.1R* to *COBS 7.3.5R* through the processes it has in place to provide its *targeted support service* where those processes:
- (1) comply with *COBS 9B*; and
- (2) are consistent with the outcomes under *COBS 7.3.1R* to *COBS 7.3.5R*.

### Distribution of connected contracts through exempt persons

- COBS 7.3.6** R (1) Where an *insurance distributor* is distributing through a *person* relying on the connected contracts exemption in *article 72B* of the *Regulated Activities Order*, the *insurance distributor* must ensure that the requirements in (2) are met.
- (2) The requirements referred to in (1) are:

- (a) *SYSC 19F.2* (Remuneration and insurance incentives)
- (b) *COBS 4* (Communicating with clients, including fair financial promotions);
- (c) *COBS 2.1.1R* (client's best interests);
- (d) *COBS 6.1ZA.7AR(1)*(a) and (c) (Status disclosure general information: insurance distribution);
- (e) *COBS 7.3.1R* to *COBS 7.3.5R* (Additional insurance distribution obligations: demands and needs); and
- (f) *COBS 6.1ZA.16AR* to *6.1ZA.16DR* (cross-selling).

[**Note:** article 1(4) of the *IDD*]

#### COBS 7.3.7

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To comply with the relevant chapter of *SYSC* or *Principle 3*, an *insurance distributor* will need to have appropriate arrangements in place to ensure compliance with *COBS 7.3.6R*.

## Section : COBS 7.4 Insurance distribution: Means of communication to clients

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**COBS 7.4.1** R This section applies to all information required to be provided to a *client* in *COBS 7.3* and where it is stated to apply in other sections or chapters.

### Means of communication to customers: Non-telephone sales

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**COBS 7.4.2** R

(1) A *firm* must communicate information to a *client* using any of the following:

- (a) paper; or
- (b) a *durable medium* other than paper; or
- (c) a website (where it does not constitute a *durable medium*) where the *website conditions* are satisfied.

(2) The *firm* must communicate the information in (1):

- (a) in a clear and accurate manner, comprehensible to the *client*;
- (b) in an official language of the *State of the commitment* or in any other language agreed by the parties; and
- (c) free of charge.

[Note: article 23(1), (2), (4) and (5) of the *IDD*]

**COBS 7.4.3** R Where the information is communicated using a *durable medium* other than paper or by means of a website, the *firm* must, upon request and free of charge, also send the *customer* a paper copy.

[Note: article 23(3) of the *IDD*]

### Means of communications to clients: Telephone sales

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**COBS 7.4.4** R In the case of telephone selling:

- (1) the information must be given in accordance with the distance marketing disclosure *rules* (see *COBS 5*); and
- (2) if prior to the conclusion of the contract the information is provided:
  - (a) orally; or
  - (b) on a *durable medium* other than paper,

the *firm* must also provide the information to the *client* in accordance with *COBS 7.4.2R* and *COBS 7.4.3R* immediately after the conclusion of the *life policy*.

[Note: article 23(7) of the *IDD*]